Daily Rant Business and Entrepreneurship

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Today I had to opportunity to learn about Business and Entrepreneurship. Discovered a lot about business mainly through this exercise session on Building a Business model. We developed a business model for **High yield Fabric Textile manufacturing**. The exercise was aimed digging into the various Models to take into consideration while building a Business model namely:

- Market Model
- Supply chain Model
- Value Creation Model
- Revenue Model
- Distribution Model
- Finance Model

These sub model help properly define the business model. Kind of like completing a puzzle.

We also had a look into **Profit Maximization**. The relationship between revenue and cost, both of which depend on the level of output.

$$\text{Profit} = \text{Total Revenue} - \text{Total Cost}$$

We had a look into **Marginal Revenue and Marginal Cost**. Marginal revenue is the addition to total revenue from producing one more unit of output. Whereas Marginal cost is the addition to total cost from producing one more unit of output. Profit is maximized at the output where $MR = MC$.

We talked about **Market Share and Pricing**. My take away on that was gaining market share is closely tied to offering cheaper prices and that scarcity pushes prices higher. Another thing I learned is that **Natural Monopolies are rare**. There is almost always some competition or substitute.

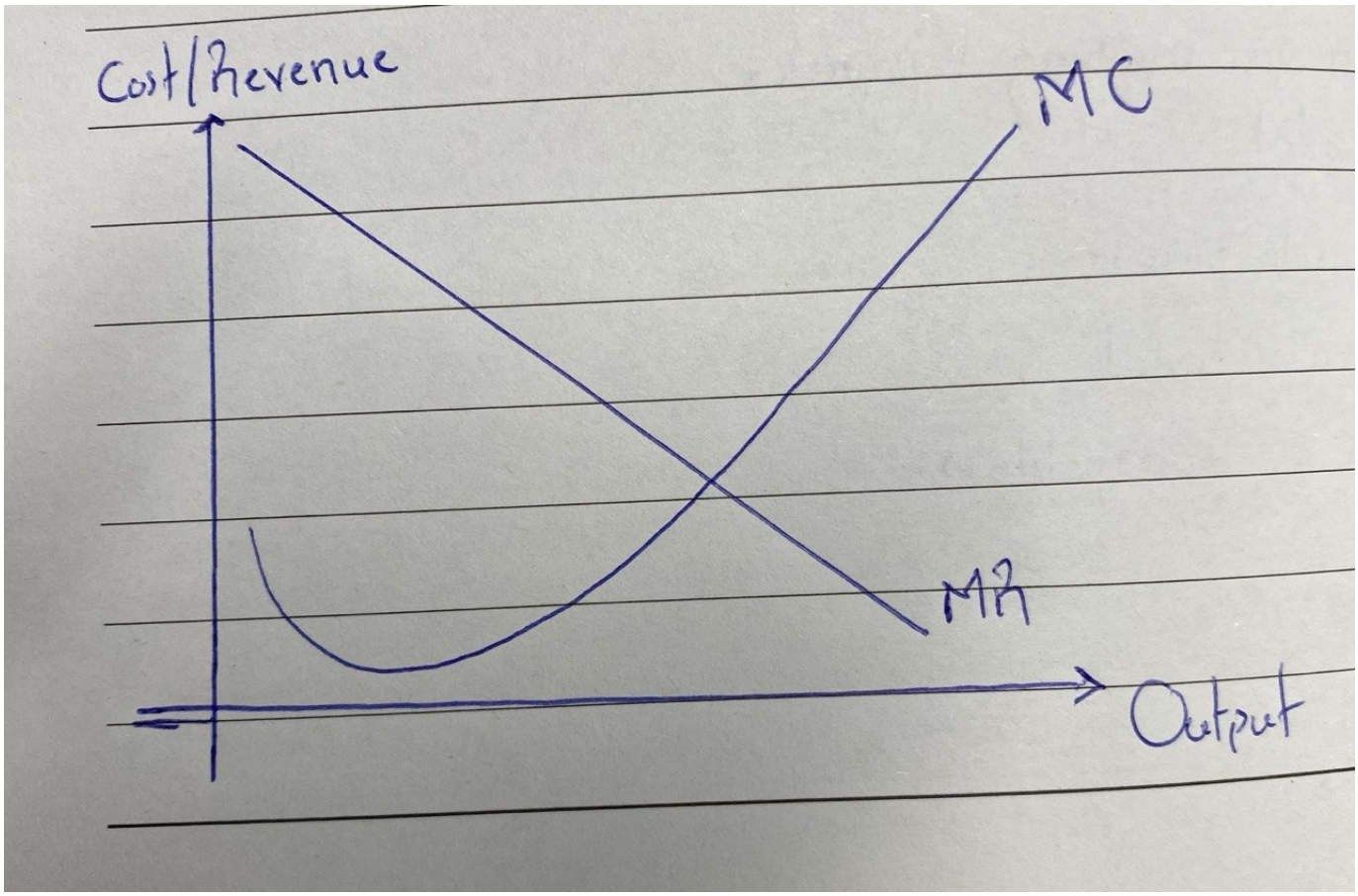


Figure 1: Graph showing the Marginal Revenue linearly decreasing from from left to right with increase in output and Marginal Cost having a swoosh shape where it initially drops but slowly start increasing with increase in output.